

LINE OF FIRE
Attacked warehouse in Sharjah, United Arab Emirates, Mar. 1

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ANALYSTS HAVE REVISED UAE GROWTH FORECASTS FOR 2026 TO BETWEEN 1.5 AND 2.5 PER CENT, DOWN FROM EARLIER EXPECTATIONS OF OVER 4 PER CENT

million, or 50 per cent, of them. The UAE now accounts for close to $30 billion, or 20 per cent, of India's total foreign remittances of $130 billion annually. That's why there was enormous shock and consternation in the UAE when the United States and Israel attacked Iran on February 28, threatening to destroy the safe harbour image that the federation enjoyed, attracting both expats and the world's talent and investment.

THE ECONOMIC WOUNDS

Before the fragile truce took hold on April 8, Iranian forces were launching as many as 40-50 strikes a day on the UAE. Dubai International Airport had twice halted operations as debris from drone attacks littered runways. A five-star hotel on Palm Jumeirah was hit near its forecourt. Windows in towers along Sheikh Zayed Road shuddered with nearby intercepts. Fires broke out in apartments from Creek Harbour to Dubai Marina. In Abu Dhabi, Sharjah and Fujairah, falling debris ignited industrial sites, forcing shutdowns. Phone alerts cut through meetings and meals several times a day. Since the war began, UAE air defences have intercepted around 550 missiles and over 2,200 drones, the highest tally in the GCC (Gulf Cooperation Council). Authorities say 11 people have been killed and hundreds injured.

The impact is beginning to show in the numbers. Oil output, which averages around 3.4 million barrels a day, fell by more than 50 per cent at peak disruption because of both the closure of the Strait of Hormuz and Iran's drone and missile attacks on the UAE's infrastructure. Analysts have revised UAE growth forecasts for 2026 to between 1.5 and 2.5 per cent, down from earlier expectations of over 4 per cent. The Economist Intelligence Unit, for instance, cut its projection to 1.5 per cent from 4.2 per cent, citing disruptions to aviation, logistics, tourism and real estate, sectors that make up a large share of Dubai's economy.

Among the hardest-hit sectors was aviation. At Dubai International, where planes once queued for take-off, passenger numbers have dropped by nearly a third in just four weeks. Cargo shipments have fallen as vessels avoid the Strait of Hormuz, adding days to delivery schedules, driving up insurance costs and squeezing margins. Nasir, an operations manager at the Sharjah-based ABC Cargo and Courier, says the impact is now reaching households. "Families ready to leave can't ship their belongings home," he says. "Containers are stuck at ports, and timelines are no longer reliable."

Tourism, which welcomed a record 19.59 million international visitors to Dubai in 2025, is also under strain. Hotel occupancy in March fell into the low 60s in some areas, prompting rate cuts of 20-40 per cent at beachfront and city-centre properties. The Department of Economy and Tourism reported a 28 per cent drop in hotel revenue for the first quarter of 2026. Attractions are seeing smaller crowds, and some events are being scaled back, or moved online.

The real estate market reflects similar uncertainty. Developers have slowed new launches. Buyers are hesitating on off-plan purchases, even in prime areas. Transaction volumes in Dubai's off-plan market fell 35 per cent in March, according to Dubai Land Department data. At the same time, opportunistic investors have begun snapping up properties at reduced prices. "Things slowed down for a bit," says